



For professional investors only | markets 2026-07-16/17 · inflation June 2026 | As-of 2026-07-18 22:30 CET | Reading time ≈ 4 minutes |
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The inflation print cooled and sentiment rebounded; oil, semiconductors, and the 30-year yield moved the other way.

Stress CALM · **Inflation** WATCH · **Evidence strength** Low · inflation regime WATCH since 2026-03 — third live reading

THE RECORD — regime history



Market-stress regime unchanged and calm: equity volatility 16.7, the yield curve at +0.37, credit spreads tight, jobless claims 208,000. June consumer prices fell 0.35% on the month — the headline rate declined from 4.25% to 3.53% year-over-year, energy-led — and consumer sentiment rose to a five-month high of 54.4. On those readings the scored panel softened to its weakest reading since this report began. The opposite-direction readings were unscored: tanker transit through the Strait of Hormuz fell sharply after fighting resumed, Brent crude rose about ten percent to \$81.6, the semiconductor index fell 10.0% on the week, and gold declined alongside equities while the 30-year Treasury yield rose through 5.09% — safe-haven flows did not go to government bonds. A pre-registered wage-squeeze rule completed its scheduled June test and did not fire. Between scheduled releases the published state moves only on the pre-registered falsifiers below — headlines and commentary, including this report's own, change nothing by themselves.

FORWARD TESTS — pre-registered, counting down

Labour-slack sign — reg. 2026-06-23; **grades** 2026-08-07 (in 20 days)

Wage-squeeze rule (June pair) — reg. 2026-07-11; **GRADED** 2026-07-14: **did not fire** (re-arms at the August print)

Inflation-regime transition — live; **next test**: August print (3-month window rolls) (monthly)

WHAT WOULD PROVE THIS WRONG

- ☐ Jobless claims sustained above 300,000
- ☐ Yield curve back below zero
- ☐ High-yield credit through its divergence tripwire
- ☐ Sixth straight month of CPI ≥ 4% year-over-year

Hash-committed before publication · verify github.com/foxtrot76/krino-commitments

The thesis

Active reading (≈70%)

A calm market-stress regime coincident with an inflation axis at WATCH — and, this period, a divergence between what is scored and what is observed. The scored panel softened: the June price print declined, sentiment rebounded from its record low, claims stayed near cycle lows. The observed-but-unscored channels hardened: chokepoint transit constrained with crude repricing higher, a second sharp semiconductor decline in four weeks, and a week in which neither gold nor Treasuries behaved as havens. The stress panel is, by construction, tuned to deflationary and liquidity stress; the divergence is carried by the separately monitored energy and awareness channels. Published state moves only on a pre-registered falsifier — none was met this period.

Strongest opposing case (≈20%)

Each adverse observation has a benign competing explanation with a scheduled test. The June price decline was energy-led and broad: if the spring energy spike keeps rolling out of the three-month window, the inflation axis's acceleration condition fails at the August print and WATCH can resolve back to NONE — the axis's first live episode ending as a false positive would itself be recorded. Crude has round-tripped on this conflict twice before; transit data, not price, is the discriminator. The semiconductor decline matches an April correction that mean-reverted. And the sentiment rebound plus low claims read as a consumer stabilising, not deteriorating.

Rejected alternatives (≈10%)

Alternative	Rejected because
Acute market-stress regime	Volatility 16.7, curve +0.37, credit benign — no scored stress
Inflation regime confirmed	Two of six qualifying months; June printed 3.53%, below the 4% bar
All-clear / watch retired	Chokepoint transit constrained, crude +10% on the week; the panel softened — it did not invert

The evidence

Signal	Reading	Threshold	Status
Equity volatility (VIX)	16.73	< 20	calm
S&P 500	7,458	—	−1.6% on week
Yield curve (10y – 2y)	+0.37	> 0	positive
High-yield credit spread	1.10 divergence	< 1.44	benign
Initial jobless claims	208,000	< 300k	low
Market-stress index	MILD (~35th pctl)	—	below bands

Inflation-regime axis

Component	Value	Threshold	Fires
CPI, year-over-year	3.53%	≥ 3%	yes
CPI, 3-month annualised	4.61%	≥ year-over-year rate	yes
Months ≥ 4% year-over-year	2 of 6	6 to arm	no
Real policy rate	≈ +0.1%	≤ −1.0%	no
Real-equity erosion	—	depressed	no

Method

Coverage map — maturation: Observed → Monitored → Instrumented → Scored

Coverage area	Stage
Market stress — vol, credit, liquidity	Scored
Inflation regime	Scored (live)
Labour slack	Scored
Commodity / energy shocks	Monitored
Private credit	Watch
Geopolitics / chokepoints	Observed

Named blindspots

Commodity and energy supply shocks are monitored but not scored — this week is a live example: the largest moves of the period sit in the monitored, not the scored, column. The stress panel is structurally insensitive to inflationary regimes; that gap is partially covered by the inflation-regime axis. Private-credit stress is not visible in public spreads and is watched, not scored.

Live forward tests

Labour-slack sign — reg. 2026-06-23; grades 2026-08-07 (in 20 days)

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Inflation-regime transition — live; next test: August print (3-month window rolls) (monthly)

Governance

Layer status

Validated (shown as validated): market-stress axis; inflation-regime axis. Provisional — under evaluation: the multi-thesis interpretation layer (dual-read shown for transparency; promoted only when its validator is operational and the evaluation phase clears).

Independent review — red-team, not user/subscriber feedback

OpenAI — architecture review. Main concern: recommended additional verification gates before any scoring rule is archived; adopted.

DeepSeek — architecture review. Main concern: required a reference-integrity screen and an uncertainty routing state; both adopted.

*Published state never moves on review count. Challenges are logged (CH-*nnn*); the state changes only on a pre-registered falsifier.*

Submit a challenge (classified under the challenge-intake taxonomy): krino.reviews@gmail.com

Appendix A — Audit

For verification. Durable technical record; optional for ordinary readers.

Locks & provenance

Item	Value
Understanding-model lock	v15 8d4515ed
Thesis ontology (frozen)	v1.0 ff5466c3
Inflation Regime Sensor	r297 — frozen
Commitment log	github.com/foxtrot76/krino-commitments

Open challenges

ID	Challenge	Opened	Status	Severity
CH-001	Live inflation axis unvalidated (n=1)	2026-07-06	Open — adjudicating	Med
CH-002	Panel deflation-tuned — coverage partial	2026-07-04	Monitored	Med

Strongest outstanding challenge

The inflation-regime axis is live but unvalidated, and this week sharpened the question: its acceleration condition now holds only through the spring energy spike still inside the three-month window. If the August print rolls that spike out and the condition fails, the first live WATCH ends as a recorded false positive. Open — adjudication continues at the August and September prints.

GLOSSARY

WATCH

An inflationary configuration flagged, not a confirmed regime.

Arms the regime

Meets the count needed to confirm a regime (6 months $\geq$ 4%).

Divergence tripwire

The high-yield vs BB spread gap that would signal credit stress (1.44).

Live axis

A validated signal in its first live readings (small sample).

Falsifier

A pre-registered condition that, if met, moves the state.

Method: KRINO classifies macro regimes from public data under a fixed protocol — hypotheses and their falsifiers are hash-stamped before evaluation; thresholds frozen before validation; instruments adopted only after out-of-sample validation and independent review; every revision and defect logged.

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